

Member ID: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (48 points)

Problem 1: Depreciation Methods _____ (80 points)

Problem 2: Journal Entries _____ (76 points)

TOTAL POINTS _____ ***(234 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

1. On May 1st Lovegood Consulting entered into a contract to build a website for a customer for \$20,000 plus a \$5,000 bonus to be paid to Lovegood if the website is completed by June 30th. The performance bonus will be reduced by \$1,000 for each week beyond the due date. Based on Lovegood's historical experience and the assessment of its current capabilities, the following outcomes are estimated. Using the expected value method, estimate the transaction price for Lovegood's revenue contract.

Completion Date	Possibility of Outcome	Performance Bonus
June 30 th	60%	\$5,000
July 7 th	20%	\$4,000
July 14	15%	\$3,000
July 21	5%	\$2,000

- \$20,000
 - \$24,350
 - \$25,000
 - \$14,000
2. Diggory Construction is hired to construct a separate office next to a customer's house. The contract includes providing all materials, laying the foundation, constructing the building, and installing fixtures within the facility. Diggory is able to identify standalone prices for each aspect based upon other contracts for those individual services. How many performance obligations are in the contract?
- 1
 - 2
 - 3
 - 4
3. If a seller uses a perpetual inventory system and records sales using the gross method, and payment is made within the discount period, in what account will the discount be recorded?
- Purchase discounts
 - Inventory
 - Sales Discounts
 - Interest Expense
4. The difference between LIFO and FIFO is _____.
- LIFO Reserve
 - Moving Average
 - LIFO Liquidation
 - Inventory Allowance

5. Which of the following costs would *not* be included in inventory?
 - a. Normal shipping charges
 - b. Purchase cost
 - c. Sales tax
 - d. Commissions paid to sales staff

6. If a company uses the perpetual inventory method and records purchases of inventory using the net method, and payment is *not* made within the discount period, in what account will the amount of the discount that was given up be recorded?
 - a. Inventory
 - b. Sales Discounts Forfeited
 - c. Interest Expense
 - d. Purchase Discounts

7. The records of Blueclaw Inc. at the end of the year included the following.

Item	Amount
Merchandise sold, in transit, shipped f.o.b. destination	\$240,000
Merchandise sold, in transit, shipped f.o.b. shipping point	320,000
Merchandise purchased, in transit, shipped f.o.b. destination	190,000
Merchandise purchased, in transit, shipped f.o.b. shipping point	100,000

What amount would Blueclaw Inc. include on its year-end balance sheet for inventory?

- a. \$340,000
 - b. \$420,000
 - c. \$430,000
 - d. \$510,000

8. Hufflestuff Hardware had an inventory of 1,200 hammers valued at \$5.00 each to begin the month. Hufflestuff sold 800 hammers on the 15th of the month and purchased 2,200 hammers on the last day of the month at \$5.80 each. The moving average cost per unit at the beginning of the next month is _____.
 - a. \$5.40
 - b. \$5.68
 - c. \$5.64
 - d. \$5.61

9. Thompson Inc. has measured its December 31, 2021, inventory on a FIFO basis at \$200,000. Information pertaining to that inventory follows.

Item	Amount
Estimated selling price	\$208,000
Estimated cost of completion, disposal, and transportation	12,000
Normal profit margin	30,000
Current replacement cost	190,000

At December 31, 2021, what is the loss that Thompson should recognize? Assume no previously recorded inventory losses.

- a. \$12,000
 - b. \$6,000
 - c. \$4,000
 - d. No loss would be recognized
10. The gain or loss on disposal of a plant asset is reported on which financial statement?
- a. Income Statement
 - b. Statement of Stockholders' Equity
 - c. Balance Sheet
 - d. Statement of Comprehensive Income
11. For a nonmanufacturing company, depreciation is classified as a(n) _____ .
- a. Selling & Administrative Expense
 - b. Non-operating expense
 - c. Inventory
 - d. Cost of Goods Sold
12. Which of the following is true of an accelerated depreciation method?
- a. Salvage value is never used in the calculation of depreciation expense
 - b. Not allowed under GAAP
 - c. Non-prorated year 1 depreciation expense will always be the highest
 - d. Depreciation expense is the same each year
13. Natural resources are depleted using which method?
- a. Straight-line
 - b. Sum-of-years' digits
 - c. Declining Balance Method
 - d. Units-of-Production

14. Dobby Corp. purchased equipment on October 18, 2021, at a cost of \$40,000. The equipment was expected to have an 8-year service life, \$4,000 in residual value. Dobby uses the double-declining balance method to calculate depreciation, and the half-year convention. How much depreciation did Dobby record in 2021?

- a. \$10,000
- b. \$5,000
- c. \$9,000
- d. \$4,500

15. On January 1, 2016, Bigbuck Company purchased a piece of manufacturing equipment for \$200,000. The estimated useful life of the equipment was 10 years, with no salvage value. The company uses the straight-line method to depreciate equipment (full-month convention). On December 31, 2020, the company recognized a \$30,000 impairment loss on the equipment.

What amount should Bigbuck Company report as depreciation expense in 2021?

- a. \$14,000
- b. \$20,000
- c. \$15,000
- d. \$23,000

SHORT ANSWER

1. Malkin's Goods is running a promotion where a customer receives a free neon bowtie with the purchase of a suit for \$125. The standalone selling price of a suit is \$120. The standalone selling price of the bowtie must be estimated because Malkin's has never sold this product in the past. Malkin is aware of a competitor selling a product similar to the neon bowtie in the market for \$30.

Allocate the transaction price to the suit and the neon bowtie, rounding your final answers to the nearest whole dollar.

Suit: _____

Bowtie: _____

2. Quality Supplies enters into a contract to sell a robot vacuum plus a one-year service plan for the robot vacuum for a combined price of \$752. The standalone selling price of the robot vacuum is \$600 and the standalone selling price of the one-year service plan is \$25 a month. Quality Supplies collects \$450 upfront and bills the remaining balance evenly over the contract period of one year. Provide the appropriate journal entry when Quality Supplies sells the robot vacuum and collects \$450.

3. Fine Jewelers enters into a \$300,000 contract for the purchase of customized minercarts with Cart Construction Inc. The construction of the equipment is expected to take two years. Fine Jewelers owns the work in process during the two-year period but will not take possession of the equipment until completed. Cart Construction will bill Fine Jewelers monthly for performance completed to date. After year-one, Cart Construction incurred costs of \$108,000 and expects remaining costs to be \$117,000. Cart Construction has billed Fine Jewelers \$150,000 in total for the year. Fine Jewelers has paid \$135,000 to Cart Construction. Determine the amount of revenue that Cart Construction should recognize in the first year of the contract.

4. Data relating to the computation of the inventory at June 30, 2021, for Dank Inc. follow.

Item	Cost	Retail
Beginning inventory, July 1, 2020	\$ 255,200	\$ 360,000
Purchases	1,428,000	2,362,000
Markups, net		245,000
Sales		2,415,000
Markdowns, net		175,000

What is ending inventory at cost on June 30, 2021, using the average cost retail method? (Do not round the cost ratio, but round the final answer to the nearest dollar)

What is the ending inventory at cost on June 30, 2021 using the conventional retail method? (Do not round the cost ratio, but round the final answer to the nearest dollar)

5. Granger Manufacturing purchased equipment, furniture, and artwork for \$160,000 in a lump-sum purchase. An independent appraiser provided them with the following estimates of fair value:

Equipment	\$120,000
Furniture	32,000
Artwork	12,000

How much would Granger Manufacturing allocate to the assets?

Equipment _____

Furniture _____

Artwork _____

6. D. Thomas' Pizza incurred the following costs during 2021:

Purchase of warming units for delivery vehicles	\$15,000
Cost to install warming units	3,000
Replacement parts for refurbishment of pizza ovens	5,000
Labor related to refurbishment of ovens	2,500

The refurbishment improved the efficiency of the ovens by 20% but did not extend the oven's useful life. This is the first time Thomas has installed warming units in its vehicles.

Of the above costs, how much should be capitalized? _____

Of the above costs, how much should be expensed? _____

PROBLEM 1 (80 points)

Gryff Industries purchased a delivery vehicle on January 1, 2022, for \$30,000. Gryff paid sales taxes of \$2,000, \$2,500 to have a custom rack installed and one year's insurance premium of \$1,500 on the same day. The company estimated a residual value of \$3,000 at the end of the 5-year expected service life. Round to the nearest whole number

Expected usage (in miles)	
2022	16,000
2023	22,000
2024	25,000
2025	21,000
2026	16,000

Prepare the depreciation schedules under the following methods and report the following amounts.

		Annual Depreciation Expense	Net Book Value
Straight-line	December 31, 2022		
	December 31, 2026		
Units-of-Production	December 31, 2022		
	December 31, 2026		
Sum-of-Years' Digits	December 31, 2022		
	December 31, 2026		
Declining Balance Method 200%	December 31, 2022		
	December 31, 2026		
Declining Balance Method 150%	December 31, 2022		
	December 31, 2026		

StayPuft Corp. records the following entries during February 2022. StayPuft uses the perpetual inventory method and records all purchases and sales of inventory using the net method. Prepare the appropriate journal entries to record the transactions.

February 2	Sales of \$2,000 on account to RunFlat with terms 2/10, n/30 (cost of \$1,300)
5	Purchase \$5,000 of inventory on account from Runner's with terms 1/15, n/30
8	Grant RunFlat a \$200 (gross) return
11	Receive payment from RunFlat of half the amount owed
15	Return \$800 (gross) of goods to Runner's
19	Pay Runner's in full
22	Receive payment in full from RunFlat

[illegible]